

MOHAN KUMAR

GUEST COLUMN

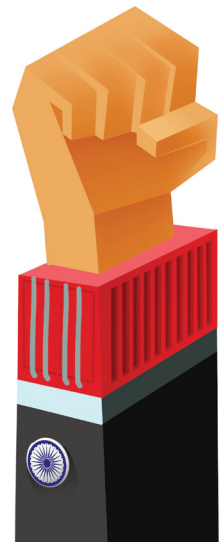
ON TRADE, NEED FOR BOLD, IMAGINATIVE THINKING

On January 1, 2022, a landmark of sorts was reached when the world's largest free trade agreement, the Regional Comprehensive Economic Partnership (RCEP), came into force. Fifteen countries from the Asia-Pacific, including China, ratified it. India's decision to opt out of the RCEP in 2019 generated much controversy, but there is enough ex post facto justification for its doing so. First, China is now clearly looking inward. So, the potential for India to seek market access in China in the medium to long term may be limited, not to mention the ongoing border stand-off in Ladakh. Second, the RCEP partners have not satisfactorily addressed the issue of non-tariff barriers we raised. Third, the issue of services, which is of capital importance to India, did not get the attention that it deserved.

Since then, there has been a paradigm shift in India's trade policy, and the emerging contours are clearly discernible. In 2020, many Union ministers went on record to say that FTAs (free trade agreements) concluded in the past did not reap the expected benefits for India. Yet, a year later, India announced its intention to enter into a plethora of FTAs with the EU, UK, Australia, the UAE, Canada and Israel (not to mention talks with US and Taiwan). So, what explains this fundamental change in conviction?

The main reason behind this is the fact that the era of Most Favoured Nation-based, WTO-regulated multilateral trade seems to be ending and the future of trade appears to lie clearly with FTAs. This also ties in neatly with the current trend towards resilient supply chains, where strategic trade in goods and services (semiconductors, pharma, vaccines etc) will happen based on trust as opposed to non-strategic trade (buttons, zippers, undergarments etc). If the future of trade lies with FTAs, then India cannot afford to be not part of it. Our ambition to be a $5 trillion economy depends squarely on this, since foreign trade constitutes nearly 50 per cent of our GDP. So, the economic logic for FTAs is unimpeachable.

It is one thing, however, to announce our intention to enter into FTAs, and another to implement it successfully. A number of observations are in order. For one, it will not be enough if these FTAs stay confined to goods and tariff cuts. As we saw in earlier FTAs, this does not work for India. Services, non-tariff barriers and movement of professionals (visas) must be part of it. So, we are looking at comprehensive economic partnership agreements rather than strict FTAs. Then, we need adequate, qualified manpower and preparation to negotiate these agreements. With that in place, we must negotiate these agreements with adequate transition periods (of 10 years or more), justified by our developing country status. Alongside, there is need for both political will and skillful consensus-building to execute necessary but difficult domestic reforms. As evidenced by the farmers' agitation, this political exercise is far from easy in a democracy such as ours. Yet, without far-reaching domestic economic reforms, India cannot hope to derive the full benefits from the ensuing FTAs. It is also critical that we get our act together in establishing a legal framework for digital trade. Digital trade is most certainly the future and the bill currently pending in Parliament must be passed post-haste. Simultaneously, we must be prepared to discuss both environment and labour standards, which will inevitably figure in these negotiations. Finally, it is important to negotiate a mutually acceptable investment protection agreement with our partners. In this regard, the talks with EU will provide a good starting point.



Even though India opted out of RCEP, FTAs will be the way forward; MFN-based, WTO-regulated multilateral trade is passe

There is need for bold, imaginative thinking when it comes to India's ties with the US. Bilateral FTAs may prove difficult with the US, but how about contemplating joint intention to seek entry into the Comprehensive and Progressive Agreement for Trans-Pacific Partnership or, failing which, a Quad economic partnership agreement? ■

Dr Mohan Kumar *is Dean/ Professor at Jindal Global University, Chairman of RIS and a former ambassador. Views are personal.*

Illustration by SIDDHANT JUMDE